**Report to The Portland Public Schools Board of Directors**

Date: October 29, 2025

From: Bond Accountability Committee

Subject: BAC Report #49

**Committee Charge**

The Portland Public Schools Board of Education (Board) has appointed a citizen Bond Accountability Committee ("Committee") whose charge is to monitor the planning and progress of the bond programs relative to voter-approved work scope, schedule, and budget objectives.

The duties of the Committee are (i) to receive reports on the status and planned implementation of the bond program; (ii) to determine whether such status and implementation are consistent with the program approved by the voters; and (iii) to report their findings to the Board.

The current members of the BAC are:
Greg DiLoreto, incoming chair
Norman Dowty
Chris Dunning
Travis George
Ryan Kinsella
Jonathan Truit
Cara Turano, Chair
BOE Director Splitt, liaison to the BAC

Recently two of our members have resigned and staff is reviewing applications for their replacement.

Greg DiLoreto was elected the chair of the BAC. Cara Turano has done an outstanding job serving as BAC chair for the past three years.

**Background:**

In November 2012, voters approved a $482M capital improvement bond measure for Portland Public Schools. In May 2017, voters approved a $790M capital improvement bond measure. In November 2020, voters approved a $1.206B capital improvement

bond measure and in May 2025, voters approved a $1.8B capital improvement bond measure to continue the work approved in the three previous bond measures.

All regular BAC meetings are publicly noticed and open to the public. Staff presentation materials, along with BAC reports and meeting minutes are regularly posted on the district website. Meetings are also video recorded, which allows BAC members unable to attend scheduled meetings to watch the proceedings and review the materials at their convenience.

**The BAC meeting on October 29, 2025 was held via Zoom. Seven members participated in the meeting, Greg DiLoreto, Travis George, Jonathan Truit, Norm Dowty, Ryan Kinsella, Chris Dunning and Cara Turano serving as chair.**

Since our last meeting there has been a change in staffing in the Office of School Modernization (OSM). The previous director of OSM resigned and a private firm was brought in to provide overall management. Their contract expires at the end of 2025 (a RFP since our meeting was issued by PPS and Procedeo has been the selected firm pending BOE approval). Additionally, PPS is in the process of hiring a new director for OSM. The meeting covered eight areas: new reporting format; updates on ADA/SPED; mechanical; roofs; security; seismic; and technology, with a detailed presentation on the work on the ERP (enterprise resource planning systems). Most of the meeting was spent on providing input to staff on the proposed new reporting formats. BAC requested that the reports include budget and schedule projections and variance reporting like what had been included in prior years. There was also mention of OSM and BAC discussing options for additional information and/or meetings as appropriate between the quarterly meetings.

**Public comment was received, from John Charles with the Cascade Policy Institute urging the BAC to advocate for revisiting the 1,700-student enrollment size for all high schools.**

**Report**

*1. Whether the school district bond revenues are expended only for the purposes for which the bonds were approved, and that bond revenues are not used for any purpose prohibited by law.*

- The BAC reviewed the Bond Program Administration report and additional reports specific to bond revenues and expenditures.
- **Based on previous reports and conversation with staff the 2012 Bond Program accurately funded all items identified within that program. For 2017 and 2020 staff is still reconciling expenditures to date and forecasting**

**remaining work, which should be completed in the next few weeks. Based on previous reports the BAC believes the programs to have been properly funded; it appears that the school district is spending revenues only for the purposes for which the bonds are approved. For the 2025 bond measure, almost no funds to date have been expended.**

*2. Whether the bond budget is sufficient to complete the scope of work as outlined in the voter-approved bonds.*

- **As noted above, staff is reconciling expenditures to date and forecasting remaining work for 2017 and 2020 bond measures. Previous reports showed adequate funding for all projects except for Jefferson High School, which as a result of the 2025 bond should now be adequately funded. As of the July 2025 meeting, no significant funding has been spent on the CBSE (Center for Black Student Excellence), but the BAC understands the District is going through a due diligence process on a potential building purchase to be used for the CBSE.**
- Noted in our July 2025 report the delay in the Bond Measure from 2024 to 2025 caused a funding gap for the ERP Replacement project, however with the passage of the 2025 bond measure, staff reported to the BAC that they have more than adequate funding for the ERP. Any funds remaining will be returned for use on other projects.

*3. Whether the projects planned, in progress, and completed will meet the scope of work specified in the voter-approved bonds; and*

- The BAC reviewed the 2017 and 2020 infrastructure projects in the areas of ADA/SPED, Mechanical, roofs, security, seismic, technology and then looked to the future with the 2025 bond.
- **Based on the information provided by staff, it appears that the school district is proceeding with work that meets the intent of the scope of work specified in the voter-approved bonds.**
- **The 2025 Bond measure seismic scope said the funds were to fully fund 8 to 10 schools. There is concern that with limited funds and escalating costs there may not be enough money to achieve this goal.**
- No issues were noted for the technology program.
- For remaining mechanical projects past 2026, OSM will need to reconcile existing projects and identify remaining funding to determine priorities for future work.
- ADA/SPED work is expected to be completed by end of 2025.

- Roofing projects remain on schedule. Projects beyond 2026 will need to have funding identified and appropriated.
- Radon work is to be completed by the summer of 2026.

*4. Whether the projects are being delivered on schedule relative to the voter-approved bonds.*

- Staff indicated that to accurately determine schedule performance, they need to benchmark each program against its original executive plan. They expressed concern that the 2012 Bond ($482M) and 2017 Bond ($790M) were behind schedule as they both still have open projects 13- and 8-year durations respectively. Industry standard is around 5 years. However, most of the delay was due to additional projects being added using remaining bond funds. The original projects were for the most part completed on time. Staff indicates that the 2020 Bond falls within a caution range for industry standards but must account for COVID 19. Work from the 2025 bond measure is just beginning.

*5. The Committee will receive and review copies of annual performance audit reports and financial audit reports to ensure Bond revenues are expended in compliance with state law and the ballot measure language.*

- **District staff is diligent in ensuring all bond revenues be in compliance with state law and the ballot measure language and the BAC has seen no evidence of operating outside of this compliance.**

*Additionally, the Committee may provide feedback and/or advice to the Board on one or more of the following topics:*

- *Alignment with the goals and principles of the Long-Range Facilities Plan;*
- *Alignment with the goals of the Business Equity Policy;*
- *District standards and innovative practices for achieving lower maintenance and construction costs while improving operating efficiency, sustainability, and increasing building longevity;*
- *Historic preservation and school renovation opportunities compatible with the architecture of surrounding Portland neighborhoods;*
- *Potential capital partnerships for joint and shared use of PPS facilities;*
- *Implementation of appropriate ways to address seismic issues;*
- *Topics and scope for the annual performance audit work plan;*
- *Compliance with ADA; and*
- *Communicating key information related to the bonds to the School Board, public groups, organizations and stakeholders.*

- Business Equity was not discussed at the BAC meeting. However, staff provided the BAC chair a draft copy of a report regarding the District's Business Equity Policy results for fiscal year 24-25. The highlights from that report are:
    - In fiscal year 24-25, the District did not meet the 18% aspirational business equity goal, reaching 14.42%
    - One-third of all contracts for District construction, architecture, engineering, and related services projects are with Certified Businesses
    - Certified Business utilization is highest where the District has the most discretion in procurement (i.e., direct appointment of small dollar projects)
- Certification Type
    - Minority-Owned Businesses: 5% ($6.2 million)
    - Women-Owned Businesses: 7.57% ($9.4 million)
    - Emerging Small Businesses: 1.2% ($1.5 million)
    - Bond vs. Non-Bond Projects
        - Bond Projects: 14.33% ($17.2 million)
        - Non-Bond (Facilities Project Management) Projects: 17.2% ($1 million)

- Cumulative Workforce Equity
    - The District has consistently exceeded the 20% goal for apprentice hours on eligible construction projects since program inception.
    - The District has consistently exceeded the 25% goal for minority hours (journey and apprentice level) on eligible construction projects since program inception.
    - The District falls short of meeting the 14% goal for female hours (journey and apprentice level) on eligible construction projects, although it is closer than ever this fiscal year.

*General Comments*

In the interest of improving the effectiveness of the BAC and our ability to meet the intent of our charter we have offered recommendations to OSM staff that include:

- In our previous (July 23rd meeting The BAC asked to see a comparison for the ERP implementation to other similarly sized school districts to understand how/if the $62 million budget aligns in terms of costs. That was provided and the comparison districts costs were lower than PPS budget estimate. Staff feels extremely confident that we have ample funding to complete this project.
- **The BAC continues to request the BAC receive relevant information rather than relying upon us reading about it in the newspaper and that the BAC receives notification that the documents are available.**
- The BAC would appreciate a monthly update on CBSE from OSM.

In conclusion, we commend PPS with what they have accomplished as the number of projects is numerous and complex. Projects are generally coming in on time and within budget and scope with the exceptions previously noted. We continue to appreciate the quality and professionalism of OSM staff, particularly as they work through the change in leadership, design teams and contractors as they take on multiple issues and ongoing efforts to explore new approaches. We thank the Board for this opportunity to serve and play a small part in your bond programs.

**Additional Resources:**

PPS Bond Program website at https://www.pps.net/Page/117
PPS BAC page at https://www.pps.net/Page/464